

FORM TP 2012029



TEST CODE **01240032**

JANUARY 2012

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 032 – General Proficiency

1 hour 15 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. Answer ALL the questions.
2. All answers must be written in this booklet.
3. You are advised to take about 15 minutes to read through the paper.
4. Silent, electronic, non-programmable calculators are allowed for this paper.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO

INSTRUCTIONS: Read the following case study and answer the questions that follow.

CASE STUDY

Beyond 2012

Beyond 2012 is the name of a service centre business which offers telemarketing and data entry services. The business is owned by a group of friends. From its inception, the business has been doing very well. The success of Beyond 2012 has motivated the owners to expand their services. They want to execute a growth strategy over the next 10 years. The first stage of the growth strategy will span three years and will include new but related services. All the stakeholders are included in the decision-making process.

Complete the following Business Plan using the information from the case.

BUSINESS PLAN

OPERATIONAL PLAN

1. Nature and Type of Business

- (a) List TWO types of services offered by Beyond 2012.

(2 marks)

- (b) State TWO changes to the organization that are **LIKELY** to result over the next three years as a result of the growth strategy that will be implemented.

(2 marks)

2. Internal Structure of the Organization

Outline how the following functional areas of the business will be affected by the planned growth:

- (a) Human resource department

(1 mark)

- (b) Marketing department

(1 mark)

GO ON TO THE NEXT PAGE

3. Management Function

- (a) Identify the type of leadership style that is displayed by the owners of Beyond 2012. Support your answer with evidence from the case.

(2 marks)

- (b) Identify TWO sources of internal conflict that MAY result from the proposed changes to the business.

(2 marks)

Total 10 marks

MARKETING PLAN

Beyond 2012 has been in existence for two years. The owners of the business chose the name Beyond 2012 to signify resilience, strength and survival. The owners together have over 20 years of experience in the call centre industry and have decided to pool their resources and competencies to open a service centre thereby building a competitive advantage, expanding the clientele base and creating an overall increase in services and profits.

As part of the growth strategy, the team of owners/managers of Beyond 2012 is developing a business plan for the next three years. They have pooled the company's data for use in this plan. The expansion will include information technology services such as bookkeeping, management information systems, marketing and public relations services.

4. Target Market

- (a) Identify THREE business sectors that are LIKELY targets in the three-year plan.

(3 marks)

- (b) Identify THREE marketing strategies that can be used to promote the services offered by Beyond 2012.

(3 marks)

GO ON TO THE NEXT PAGE

5. Pricing Strategies

State TWO ways by which the business can realise a reasonable increase in revenue in the next three years.

(2 marks)

6. Promotion Strategies

- (a) Use the objective(s) of the business to suggest a suitable slogan for the promotion of the services offered by the business.

(2 marks)

- (b) (i) Identify TWO strengths of the business.

(2 marks)

- (ii) State ONE way in which EACH strength will give the business an advantage over its competitors.

(2 marks)

7. Technology

Describe TWO ways in which technology can be used in promoting the services of the business.

(4 marks)

8. Quality

Describe ONE way in which the company can maintain quality service to its clientele.

(2 marks)

Total 20 marks

FINANCIAL PLAN

The business started with five clients and within two years it had expanded to 12 clients. Revenues have grown from \$60 000 in year one to \$500 000 in year two. The plan for the next three years is to increase the revenue of the business by 40 per cent with the additional services.

9. Sources and uses of finance and capital instruments

- (a) Identify TWO sources from which Beyond 2012 can seek financing to fund its expansion.

(2 marks)

- (b) State TWO ways in which Beyond 2012 can use the funds to support its three-year plan.

(2 marks)

10. Government regulations

Discuss ONE government regulation that Beyond 2012 needs to consider when conducting business.

(3 marks)

11. Executive Summary

Write an overview of the business including the THREE main aspects of the plan.

(3 marks)

Total 10 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.